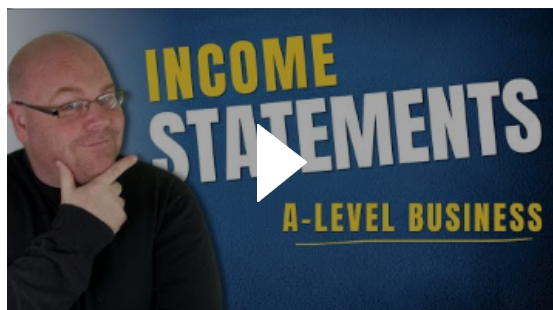


1 - Statement of Comprehensive Income and Statement of Financial Position

Flipped learning - Please watch these short videos before the start of the lesson



Learning Outcome

By the end of the lesson you will be able to interpret key financial statements and explain their relevance to different stakeholders

To Know



- I know key components of the statement of comprehensive income (e.g. revenue, expenses, gross and net profit).
- I know key components of the statement of financial position (e.g. assets, liabilities, equity).
- I know what the figures in these statements suggest about business performance and financial health.
- I know how different stakeholders (e.g. shareholders, managers, creditors, employees) use this financial information.
- I know the strengths and limitations of financial statements for decision-making.

Make some notes as we go through these accounts



VGL Statement of comprehensive income (profit and loss account)

	2024	2023
	£m	£m
Sales revenue	33.0	30.1
Cost of sales	16.8	19.6
Gross Profit	16.2	10.5
Operating expenses	4.0	4.0
Operating Profit	12.2	6.5
Interest	1.2	1.3
Profit for the year (Net profit)	11.0	5.2

VGL Statement of financial position (Balance Sheet)

2024	2023
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	£m	£m
<u>Non-current assets (Fixed assets)</u>	101	96
<u>Current Assets</u>		
Inventory (Stock)	14	15
Trade receivables (Debtors)	4	7
Cash	<u>4</u>	<u>10</u>
	22	32
Current Liabilities (Trade creditors)	14	17
Net Current Assets (Working capital)	8	15
Non-current liabilities (Long term loans)	60	63
Net Assets	49	48
Share Capital	4	4
Profit & Loss Account (Retained profit reinvested)	45	44
Total Equity/Shareholder funds	49	48



I Do, We Do, You Do

Why are these financial accounts useful to different internal and external stakeholder groups?

Shareholders

Managers

Employees

Suppliers

Government

